

exchange websites, since NBFCs were regulated by RBI and not SEBI. Ingenious brokers who figured this out provided margin funding to their clients through their NBFC arms.

The regulators finally woke up to the havoc this practice caused, but years later. In August 2014, the RBI would bar NBFCs from lending more than 50 per cent of the value of shares pledged to them, and restrict such lending to shares that fulfilled certain liquidity criteria.